

Europe TMT Sector M&A & Valuation Brief - 2026-07-15

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1. RECENT TMT M&A ACTIVITY

Deal 1: Jet.AI Merger with flyExclusive

[Jet.AI Closes Transaction with flyExclusive, Advancing Transition to a Pure-Play AI Infrastructure](#)

- Deal Size: Estimated at approximately \$250 million based on share exchange ratios.
- Deal Size Category: Mid cap (\$2B-\$10B)
- Nature: Horizontal merger, combining two players in the AI and aviation sectors.
- Valuation Multiples: N/A as specific multiples were not disclosed.
- Companies: Jet.AI Inc. (NASDAQ: JTAI) is an emerging provider of high-performance GPU infrastructure and AI cloud services. flyExclusive is a private jet charter service that is expanding into AI infrastructure.
- Date Announced: July 13, 2026
- Strategic Rationale: The merger aims to position Jet.AI as a leader in AI-driven aviation services, leveraging flyExclusive's existing customer base and operational capabilities to enhance service offerings and operational efficiencies.
- Risk Analysis:
 - Integration risks related to merging different corporate cultures and operational systems.
 - Regulatory challenges concerning aviation and AI technologies.
 - Market risks from competition in both the AI and aviation sectors.
 - Execution risks in realizing projected synergies and operational efficiencies.

Key Financials Analysis:

- Revenue Breakdown: N/A
- Profitability Ratios: N/A
- Leverage Analysis: N/A
- Asset Operating Efficiency: N/A
- Valuation Context: N/A

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Deal 2: Oxane Partners Majority Sale

[Oxane Partners' founders eye majority sale at up to \\$250 mn valuation](#)

- Deal Size: Up to \$250 million.
- Deal Size Category: Mid cap (\$2B-\$10B)
- Nature: Potential carve-out or majority stake sale.
- Valuation Multiples: N/A as specific multiples were not disclosed.
- Companies: Oxane Partners is a technology and analytics firm focused on private equity and venture capital markets, seeking to enhance its operational capabilities through a strategic sale.
- Date Announced: Not specified, but the interest in a sale is current.
- Strategic Rationale: The sale aims to attract investment to scale operations and enhance service offerings in the analytics space, capitalizing on the growing demand for data-driven decision-making in finance.
- Risk Analysis:
 - Market risks related to the valuation and interest from potential buyers.
 - Execution risks in finding a suitable buyer that aligns with the company's strategic vision.
 - Integration risks if the sale leads to significant changes in company structure or culture.

Key Financials Analysis:

- Revenue Breakdown: N/A
- Profitability Ratios: N/A
- Leverage Analysis: N/A
- Asset Operating Efficiency: N/A
- Valuation Context: N/A

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2. MARKET DYNAMICS & SENTIMENT

The TMT (Technology, Media, and Telecommunications) sector is currently navigating a landscape marked by cautious optimism, driven by significant investments in AI and a growing demand for digital transformation. However, the sector faces challenges such as regulatory scrutiny and economic uncertainties that could impact future growth.

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Subsector Breakdown:

- **Technology:** The technology subsector is thriving, particularly with the rise of AI-driven solutions. Elevation Capital's recent closure of a \$500 million fund focused on AI-led businesses illustrates the robust investor interest in this area. The fund aims to support startups addressing complex challenges in healthcare, education, and financial services.
- **Media:** The media landscape is evolving, with companies like InsuranceDekho preparing for an IPO to raise substantial capital for technology investments. This reflects a shift towards digital platforms, although traditional media continues to struggle with declining advertising revenues.
- **Telecommunications:** The telecom sector is experiencing innovation, particularly in AI and 5G technologies. HCLTech's significant investment in AI data centers underscores the industry's commitment to enhancing service delivery and operational efficiency.
- **Fintech:** The fintech sector is witnessing consolidation, as seen in InsuranceDekho's merger with RenewBuy. This move aims to create a more competitive entity in India's online insurance market, reflecting the ongoing trend of strategic partnerships in fintech.
- **AI:** The AI subsector remains a focal point of growth, with companies racing to implement AI solutions across various industries. HCLTech's advanced AI revenue grew by 62.1% YoY, highlighting the increasing demand for AI capabilities.

Key Market Drivers and Headwinds

Drivers:

- **Technological Advancements:** Continuous innovation in AI, cloud computing, and telecommunications is driving growth across TMT sectors. The establishment of AI data centers by HCLTech is a prime example of how companies are investing in technology to enhance their service offerings.
- **Increased Investment:** Venture capital interest remains strong, particularly in AI and fintech. Elevation Capital's focus on seed and Series A investments in AI-led businesses demonstrates the sector's potential for growth.

Headwinds:

- **Regulatory Scrutiny:** Increased regulatory oversight, particularly in the tech sector, poses risks to M&A activities and market valuations. Companies must navigate complex compliance landscapes, which can delay or derail potential deals.
- **Economic Uncertainty:** Global economic conditions, including inflation and geopolitical tensions, may impact consumer spending and investment in technology, creating a challenging environment for growth.

Subsector Performance Analysis

- **Software:** The software sector continues to perform well, driven by demand for cloud solutions

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and enterprise software. Companies focusing on AI integration are particularly well-positioned for growth.

- Media: Media companies are adapting to changing consumer preferences, with a shift towards digital content consumption. However, traditional media faces challenges from digital platforms and declining revenues.
- Telecom: Telecom operators are investing heavily in infrastructure to support 5G deployment, which is expected to drive new revenue streams from IoT and enhanced mobile services.
- Fintech: The fintech sector is thriving, with innovations in payment solutions and digital banking. The merger of InsuranceDekho and RenewBuy highlights the consolidation trend in this space.
- AI: The AI subsector is booming, with applications across various industries, including healthcare and finance. Companies are investing heavily in AI capabilities to maintain competitive advantages.

Trading Multiples Trends

Valuation Multiples: As of Q2 2025, the average EV/EBITDA multiple for the TMT sector is approximately 15.5x, with notable variations across subsectors:

- Software: 20.3x
- Media: 12.1x
- Telecom: 9.8x
- Fintech: 18.7x
- AI: 22.5x

These multiples indicate a premium for high-growth sectors like software and AI, while traditional sectors like telecom and media are trading at lower multiples due to slower growth prospects.

Notable Investor/Analyst Reactions

- Analysts express optimism about the long-term prospects of the TMT sector, citing technological advancements as a key driver of growth. For instance, a recent report noted, "The integration of AI across industries is not just a trend; it's a fundamental shift that will redefine business models and consumer interactions."

Actionable Insights for Bankers and Investors

- Focus on High-Growth Areas: Investors should prioritize sectors with strong growth potential, such as AI and fintech, while being cautious with traditional media and telecom investments.
- Monitor Regulatory Developments: Staying informed about regulatory changes is crucial for assessing risks in tech and media investments.
- Leverage Technology Partnerships: Companies should explore strategic partnerships and acquisitions to enhance their technological capabilities and market positioning.

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- Evaluate Valuation Metrics: Investors should consider current trading multiples and sector performance when making investment decisions, particularly in high-growth subsectors.

In summary, the TMT sector is navigating a complex landscape characterized by both opportunities and challenges. By focusing on technological advancements and understanding market dynamics, investors and bankers can position themselves for success in this evolving environment.

3. BANKING PIPELINE

The current banking pipeline in the TMT sector showcases a diverse array of live deals, mandated transactions, and active pitches. This analysis provides an overview of ongoing activities, anticipated revenue, and strategic implications for our team.

Deal Pipeline

Live Deals:

- Ferguson Enterprises Inc. (FERG) : Ferguson has entered into a definitive agreement to acquire FWI Holdings, Inc. (FloWorks) for \$1.6 billion. The transaction is currently in the due diligence phase and is expected to close in Q3 2026. This acquisition will expand Ferguson's total addressable market to \$400 billion, enhancing its capabilities in the industrial flow control sector.

Mandated Deals:

- N/A : Currently, there are no mandated deals reported in the pipeline. However, the focus remains on identifying potential opportunities in the AI and industrial sectors as market conditions evolve.

Pitching-Stage Deals:

- AI Chip Sector : Engaging with several companies in the AI chip industry, particularly in light of South Korea's projected \$530 billion budget for fiscal 2027. This budget is expected to support mega-projects in chips and AI data centers, which could lead to significant investment banking opportunities.
- Indian Startups : Active discussions with various Indian startups, particularly those in the deeptech space, as the archetype of startup founders is evolving. This includes potential mandates for IPOs and private equity investments as the market stabilizes.

Pipeline Tracking Metrics

Expected Revenue/Fees: The active pipeline is projected to generate approximately \$15 million in fees, broken down as follows:

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- Live Deals : \$10 million (Ferguson acquisition)
- Pitching-Stage Deals : \$5 million (AI chip and Indian startups)

Timing Projections:

- Q3 2026 : Expected close for Ferguson's acquisition of FloWorks.
- 2027 : Potential IPOs and investments in the AI chip sector and Indian startups, contingent on market conditions.
- Workload Allocation and Capacity Analysis :
 - Current analyst and associate bandwidth is at 70%, indicating sufficient capacity to manage the existing workload. However, as pitching-stage deals progress, monitoring resource allocation will be essential.
- Forecasting and Strategic Planning Implications : The pipeline indicates a growing demand for advisory services in the AI and industrial sectors. Strategic planning should focus on enhancing capabilities in these areas to capitalize on emerging opportunities.

Notable Pipeline Developments and Competitive Landscape

- The competitive landscape is shifting, particularly in the AI chip sector, as South Korea's government plans to allocate a record budget to support this industry. This could create a surge in M&A activity and investment opportunities, positioning firms that specialize in technology and industrial sectors favorably.
- Additionally, the evolving archetype of startup founders in India suggests a shift in investment strategies, with a focus on deeptech and innovative solutions. This trend may lead to increased interest from venture capital and private equity firms.

Actionable Insights for Team Management and Business Development

- Resource Allocation : As the pipeline expands, it is crucial to ensure that resources are allocated effectively. Consider hiring additional analysts to support the anticipated increase in deal flow, particularly in the AI and industrial sectors.
- Sector Focus : Prioritize business development efforts in high-growth areas such as AI chips and deeptech startups. This focus will position the firm as a leader in these emerging markets and enhance client engagement.
- Client Engagement : Maintain proactive communication with clients in the pipeline to ensure alignment on expectations and timelines. Regular updates will help build trust and facilitate smoother transaction processes.

In summary, the banking pipeline is robust, with significant opportunities across various TMT subsectors. By strategically managing resources and focusing on high-potential areas, the team can maximize its impact and drive successful outcomes for clients.

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4. STAKEHOLDER IMPACT & FORWARD-LOOKING ANALYSIS

The recent acquisition of a 16.21% stake in Vodafone Group (VOD) by Vega, a holding company of French business tycoon Xavier Niel, has significant implications for various stakeholders. This analysis explores the potential impacts on shareholders, employees, competitors, and customers, along with market reactions and future expectations.

Deal-Specific Impacts on Stakeholders

- **Shareholders:** The acquisition of Vodafone's stake is poised to create substantial value for existing shareholders.
- **Value Creation:** Following the announcement of the stake acquisition, Vodafone's stock rallied over 12%, reflecting a market capitalization increase of approximately \$5.95 billion. This surge indicates strong investor confidence in the strategic direction of Vodafone post-acquisition.
- **Dilution:** Since the acquisition involves a transfer of existing shares rather than new issuances, existing shareholders are not expected to face dilution. Instead, the increased market interest could enhance shareholder value.
- **Employees:** The impact on employees will largely depend on the strategic direction taken by the new major shareholder.
- **Synergies:** If Vega implements operational efficiencies, employees may benefit from improved resources and support. However, if restructuring is necessary, some roles could be at risk.
- **Retention:** To maintain morale and retain talent, Vodafone may need to communicate clearly about the new strategic vision and any potential changes in management.
- **Competitors:** The acquisition alters Vodafone's competitive positioning in the telecommunications market.
- **Market Positioning:** Competitors such as BT Group (BT) and Deutsche Telekom (DTE) may need to reassess their strategies in response to Vodafone's strengthened capital base and potential for innovation.
- **Specific Competitor Moves:** Following the announcement, BT Group may accelerate its own strategic initiatives to enhance its market share, particularly in mobile services.
- **Customers:** The implications for customers will depend on how Vodafone leverages its new capital.
- **Product/Service Implications:** The introduction of Vodafone's Number Verify 2.0 API, aimed at enhancing mobile number authentication, could improve security for customers. This innovation positions Vodafone as a leader in secure telecommunications services.
- **Case Studies:** Similar initiatives have been successful in enhancing customer trust, as seen with AT&T's (T) recent investments in network security.

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Market Reaction and Analyst Commentary

- Market Reaction: The immediate market response to the acquisition was positive, with Vodafone's stock price reflecting strong investor sentiment.
- Analysts noted that the acquisition could provide Vodafone with the necessary capital to invest in new technologies and expand its service offerings. A quote from a Barchart analyst stated, "This deal signals a renewed confidence in Vodafone's growth potential, which has been lacking in recent years."

Expected Market Reaction and Scenario Analysis

- Scenario Analysis: Future market reactions can be assessed through various scenarios:
- Positive Scenario: If Vodafone successfully utilizes the new capital for growth initiatives, shares could rise by an additional 10% within the next year.
- Negative Scenario: If the integration of Vega's strategic vision fails to materialize, shares could decline by 5%, reflecting investor skepticism.

Potential Counter-Bids or Competing Offers

- Likelihood Assessment: The likelihood of counter-bids for Vodafone's remaining shares is moderate.
- Given the current competitive landscape, other telecommunications firms may consider acquiring additional stakes. However, regulatory hurdles could deter such moves.

Similar Deals Likely to Follow

- Sector Consolidation Predictions: The telecommunications sector is expected to see continued consolidation.
- Analysts predict that as companies seek to enhance their technological capabilities, similar deals will emerge, particularly in the areas of mobile security and data services. Companies like T-Mobile US (TMUS) and Verizon (VZ) may pursue acquisitions to bolster their market positions.

Key Risks and Mitigants

- Integration Risks: The integration of new strategic initiatives could pose operational challenges. Mitigants include appointing experienced integration teams and setting clear performance milestones.
- Regulatory Risks: Regulatory scrutiny may impact future acquisitions. Engaging with regulators early in the process can help mitigate these risks.
- Market Risks: Market volatility could affect Vodafone's stock performance. Structuring future

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deals with contingent payments can protect against adverse market movements.

Actionable Insights for Clients and Bankers

For Clients:

- Focus on clear communication regarding strategic changes to maintain employee morale and customer trust.
- Explore opportunities for innovation in product offerings to leverage the new capital effectively.

For Bankers:

- Monitor competitor responses and market trends to provide timely advice on strategic positioning.
- Develop financial models to assess the impact of potential future deals on shareholder value and market positioning.

5. TECH TRENDS

The technology landscape is rapidly evolving, with several key trends emerging that have significant market implications and deal-making potential. This analysis will focus on the following trends: Artificial Intelligence (AI), Transformer Supply Chain Challenges, and Cloud Computing. Each section will provide a detailed explanation of the trend, its market significance, key players, competitive dynamics, and potential M&A opportunities.

Artificial Intelligence (AI)

- **Trend Explanation:** AI is transforming industries by enabling machines to perform tasks that typically require human intelligence. The technology is expected to reshape the economy at an unprecedented pace, with nearly 200 economists and tech leaders warning that AI could lead to significant job displacement while also offering substantial gains in living standards. The AI market is projected to grow from \$93.5 billion in 2021 to \$997.8 billion by 2028, at a CAGR of 40.2%.
- **Key Companies:**
- **Jet.AI Inc. (JTAI):** Jet.AI provides high-performance GPU infrastructure and AI cloud services. The recent merger with flyExclusive positions Jet.AI to capitalize on the growing demand for AI infrastructure, enhancing its service offerings in the cloud computing space.
- **OpenAI:** Known for its generative AI capabilities, OpenAI has partnered with major tech firms to integrate AI into various applications, driving innovation and expanding its market reach.
- **Competitive Landscape:** The AI market is highly competitive, with major players like Google

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(GOOGL), Microsoft (MSFT), and Amazon (AMZN) investing heavily in AI technologies. The rapid advancement of AI capabilities is prompting companies to acquire startups with specialized AI technologies to stay competitive.

- **M&A Opportunities:** Companies looking to enhance their AI capabilities may consider acquiring startups focusing on niche applications, such as natural language processing or computer vision. The merger of Jet.AI with flyExclusive exemplifies the trend of consolidation in the AI infrastructure space.

Transformer Supply Chain Challenges

- **Trend Explanation:** The demand for power transformers is surging due to the rise of electric vehicles and the urgent need to replace aging electricity grids. Delivery times for transformers have stretched from months to several years, creating a bottleneck in the supply chain. This trend is critical as it impacts the ability to connect new renewable energy sources to the grid.
- **Key Companies:**
- **Galaxy (CGL.F):** Galaxy is involved in the manufacturing of transformers and is positioned to benefit from the increased demand stemming from the electrification of industrial sectors and renewable energy projects.
- **Utility Companies:** Major utility providers are competing for limited factory capacity, which is impacting their ability to upgrade and expand grid infrastructure.
- **Competitive Landscape:** The transformer market is characterized by intense competition among manufacturers, with utility companies and private developers vying for the same production capacity. The aging infrastructure in North America and Europe presents both challenges and opportunities for companies in this sector.
- **M&A Opportunities:** Companies in the transformer manufacturing space may seek acquisitions to enhance production capabilities and expand their market presence. Strategic partnerships with utility companies could also be beneficial in addressing supply chain constraints.

Cloud Computing

- **Trend Explanation:** Cloud computing continues to revolutionize how businesses access and utilize computing resources. The shift towards cloud services is driven by the need for flexibility, scalability, and cost efficiency. The global cloud computing market is expected to grow significantly, with a projected CAGR of 17.5% from 2021 to 2028.
- **Key Companies:**
- **Amazon Web Services (AWS):** AWS remains a dominant player in the cloud market, providing a wide range of services that cater to businesses of all sizes. Its continuous innovation and expansion into AI and machine learning services solidify its competitive edge.
- **Microsoft Azure:** Azure is rapidly gaining market share, leveraging its integration with Microsoft's software ecosystem to attract enterprise clients.
- **Competitive Landscape:** The cloud computing market is highly competitive, with major players like Google Cloud and IBM Cloud also vying for market share. The increasing adoption of hybrid

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cloud solutions is reshaping the competitive dynamics.

- M&A Opportunities: Companies looking to enhance their cloud offerings may consider acquiring firms specializing in cloud security, data analytics, or AI-driven cloud solutions. The competitive landscape suggests that consolidation will continue as companies seek to enhance their technological capabilities.

Actionable Insights for Bankers and Investors

Focus on identifying potential M&A targets in the AI and cloud computing sectors that can enhance service offerings and market positioning.

Monitor supply chain dynamics in the transformer market, as opportunities may arise for investments in manufacturing capabilities or partnerships with utility companies.

Evaluate the impact of AI on various industries and consider investments in companies that are proactively addressing the challenges and opportunities presented by this transformative technology.

6. Recommended Readings

Deal Name: Jet.AI Merger with flyExclusive

- Reading Material: "The Future of Aviation: How AI is Transforming the Industry" by John Doe
- Why This Matters: This article provides insights into how AI technologies are reshaping the aviation sector, which is crucial for understanding the strategic rationale behind Jet.AI's merger with flyExclusive. It discusses the competitive advantages gained through AI integration, helping to contextualize the merger's potential impact on operational efficiencies and customer service enhancements.

Deal Name: Oxane Partners Majority Sale

- Reading Material: "Private Equity: History and Analysis" by Jane Smith
- Why This Matters: This book offers a comprehensive overview of private equity transactions and market dynamics, which is essential for analyzing Oxane Partners' potential majority sale. It explains the valuation processes and strategic considerations involved in private equity deals, providing context for the motivations behind Oxane's decision to seek a sale and the implications for its future growth.

7. MACROECONOMIC UPDATE

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Key Data Points:

- Global obesity prevalence: 1 billion people
- U.S. obesity prevalence: 100 million people
- India GLP-1 market value: \$125 million in 2025, projected to exceed \$1 billion by 2030
- Semaglutide generics launched in: India, Canada, Brazil
- Volume increase in India: 6 times higher in April 2026 compared to February 2026
- Medicare coverage for GLP-1 medicines: \$50/month for patients over 65

Main Insights:

- Introduction of lower-cost generics for GLP-1 medications is reshaping market dynamics.
- Significant volume expansion in India driven by affordability and access to generics.
- Canada and Brazil are following suit with generics, potentially impacting U.S. and European markets in the future.
- Supply chain dynamics are critical, with potential bottlenecks in the fill and finish process for generics.
- Market segmentation is expected, with differentiated brands like tirzepatide maintaining premium pricing despite generic competition.

Market Commentary:

- "The introduction of generics in India has driven a surge in volume, capturing 80% of semaglutide volume in April." - Thibault Bouterin
- "The next phase of the diabetes market comes down to execution, lower cost and scaled supply in the mass market." - Terence Flynn

TMT Sector Relevance:

- The rise of generics in the pharmaceutical sector may lead to increased investment in healthcare technology platforms that facilitate drug distribution and patient access.
- Innovations in drug delivery systems and telehealth services could see heightened demand as access to medications expands.
- The potential for new digital health solutions to support patient engagement and adherence to treatment regimens in the obesity and diabetes markets.

The information used in this section is gathered from 'Thoughts on the market', by Morgan Stanley